

1. Listed option

premium, payoff,
settlement, Greeks



2. Cashflow map

NAV return,
conditional premium



3. Risk model

$$\Sigma_O = B\Omega B^\top + \Sigma_\varepsilon$$



4. Robust allocation

$$\max_w \hat{\mu}^\top w - \frac{\gamma}{2} w^\top \Sigma w \\ - c^\top |w|$$



5. Validation

net caps, costs,
CPCV, MC, rolling OOS